

INFLATION, PRICE INDICES AND BUSINESS CYCLES

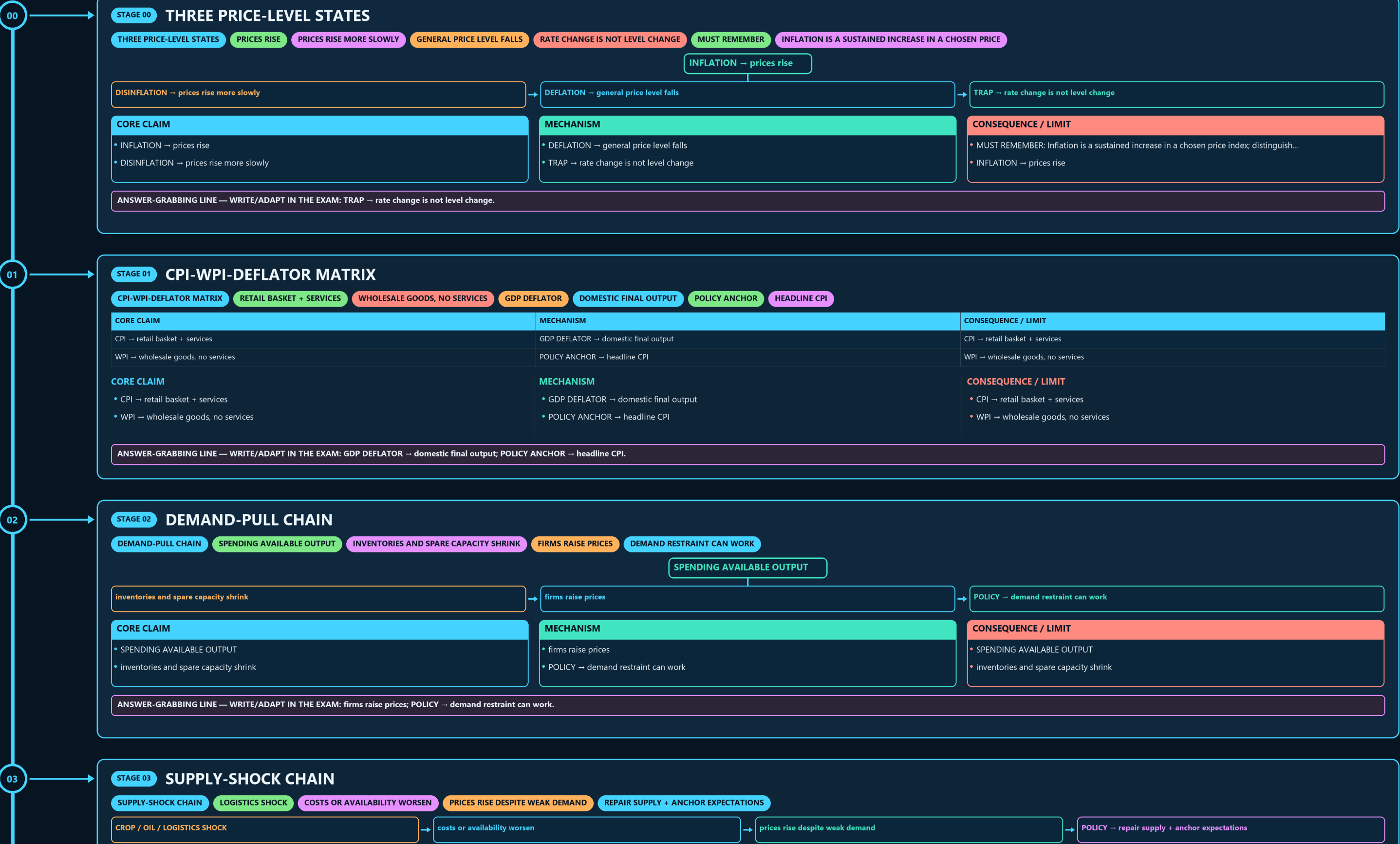
THREE PRICE-LEVEL STATES → CPI-WPI-DEFLATOR MATRIX → DEMAND-PULL CHAIN → SUPPLY-SHOCK CHAIN → OUTPUT GAP FORK → EXPECTATIONS LOOP

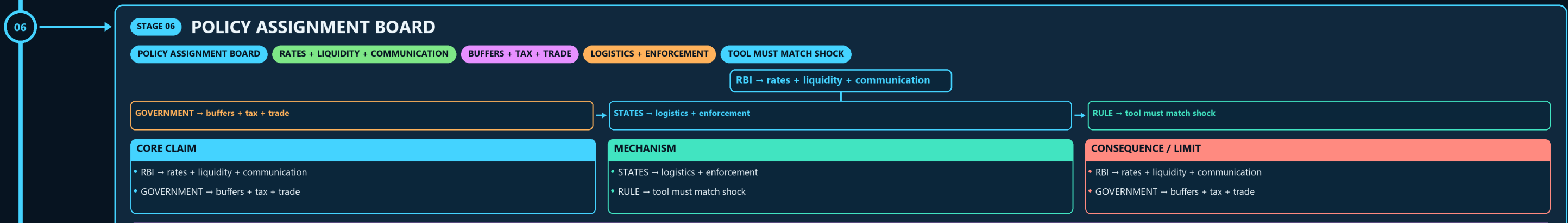
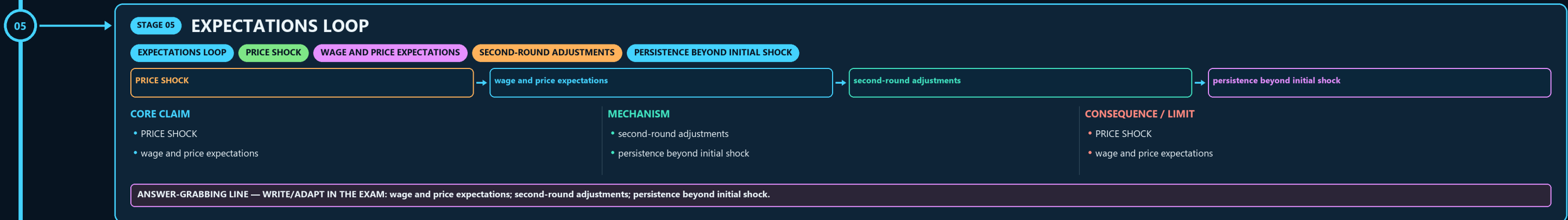
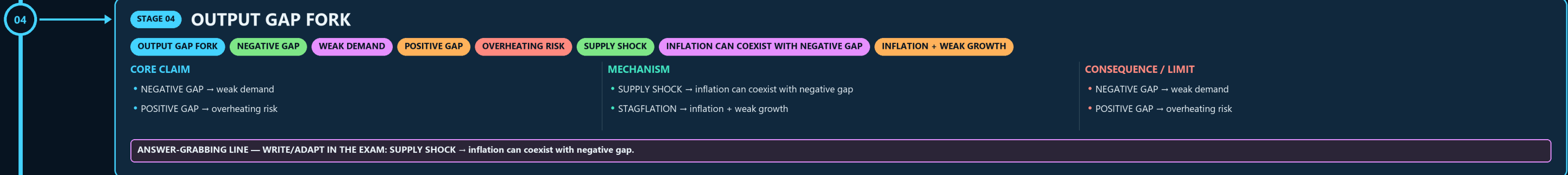
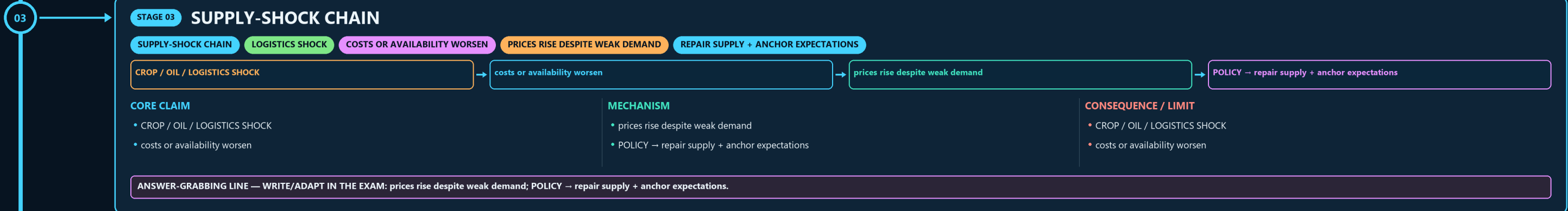
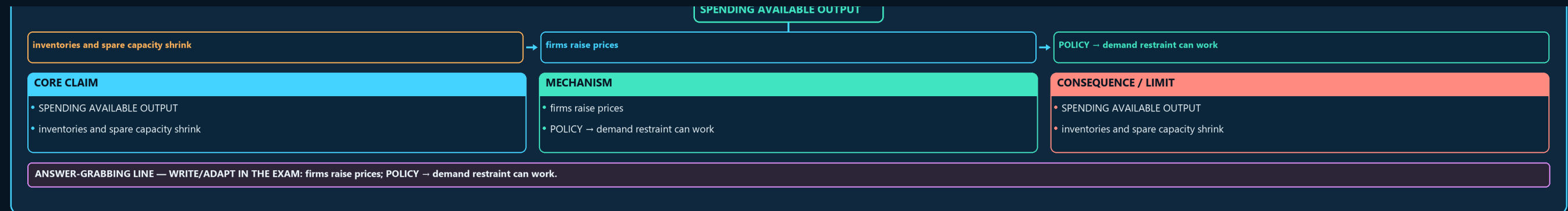
Read the thick cyan rail from Stage 00 to the final core synthesis. Each card uses a concept-appropriate structure; the grey E card is optional enrichment only and never repairs missing core content.

PRIMARY CORE FLOW SUBORDINATE EXTRA APPROVAL / REVIEW

Approval: FALSE • Pending user review • source generation g2 and all prior artifacts unchanged

CORE BEFORE EXTRA • prior artefacts unchanged • exact same master drives poster and tiles





wage and price expectations persistence beyond initial shock wage and price expectations

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: wage and price expectations; second-round adjustments; persistence beyond initial shock.

06

STAGE 06 POLICY ASSIGNMENT BOARD

POLICY ASSIGNMENT BOARD RATES + LIQUIDITY + COMMUNICATION BUFFERS + TAX + TRADE LOGISTICS + ENFORCEMENT TOOL MUST MATCH SHOCK

RBI → rates + liquidity + communication

GOVERNMENT → buffers + tax + trade

STATES → logistics + enforcement

RULE → tool must match shock

CORE CLAIM

- RBI → rates + liquidity + communication
- GOVERNMENT → buffers + tax + trade

MECHANISM

- STATES → logistics + enforcement
- RULE → tool must match shock

CONSEQUENCE / LIMIT

- RBI → rates + liquidity + communication
- GOVERNMENT → buffers + tax + trade

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: STATES → logistics + enforcement; RULE → tool must match shock.

07

STAGE 07 INDIA SHOCK TIMELINE

INDIA SHOCK TIMELINE LOCKDOWN LOGISTICS SHOCK GLOBAL COMMODITY SURGE FORMAL CPI-TARGETING FRAMEWORK DEMAND AND SUPPLY CAN CONFLICT

2020 → lockdown logistics shock

2021-22 → global commodity surge

2016 → formal CPI-targeting framework

LESSON → demand and supply can conflict

CORE CLAIM

- 2020 → lockdown logistics shock
- 2021-22 → global commodity surge

MECHANISM

- 2016 → formal CPI-targeting framework
- LESSON → demand and supply can conflict

CONSEQUENCE / LIMIT

- 2020 → lockdown logistics shock
- 2021-22 → global commodity surge

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: 2016 → formal CPI-targeting framework; LESSON → demand and supply can conflict.

08

STAGE 08 DISTRIBUTIONAL INCIDENCE

DISTRIBUTIONAL INCIDENCE HIGH FOOD AND FUEL SHARE FIXED INCOME REAL PURCHASING POWER FALLS INDEXED WORKERS PARTIAL PROTECTION BORROWERS AND MSMEs BEAR COSTS

POOR → high food and fuel share

FIXED INCOME → real purchasing power falls

INDEXED WORKERS → partial protection

TIGHTENING → borrowers and MSMEs bear costs

CORE CLAIM

- POOR → high food and fuel share
- FIXED INCOME → real purchasing power falls

MECHANISM

- INDEXED WORKERS → partial protection
- TIGHTENING → borrowers and MSMEs bear costs

CONSEQUENCE / LIMIT

- POOR → high food and fuel share
- FIXED INCOME → real purchasing power falls

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: INDEXED WORKERS → partial protection; TIGHTENING → borrowers and MSMEs bear costs.

09

STAGE 09 BUSINESS-CYCLE RAIL

BUSINESS-CYCLE RAIL POLICY DEPENDS ON OUTPUT GAP AND SHOCK PHILLIPS CURVE GUIDE, NOT LAW CLOSE DISTINCTION PRICE LEVEL IS NOT INFLATION RATE, FALLING INFLATION IS

TROUGH → RECOVERY → EXPANSION

PEAK → SLOWDOWN / RECESSION

POLICY DEPENDS ON output gap and shock

PHILLIPS CURVE → guide, not law

CLOSE DISTINCTION: Price level is not inflation rate, falling inflation is not falling

CORE CLAIM

- TROUGH → RECOVERY → EXPANSION
- PEAK → SLOWDOWN / RECESSION

MECHANISM

- POLICY DEPENDS ON output gap and shock
- PHILLIPS CURVE → guide, not law

CONSEQUENCE / LIMIT

- CLOSE DISTINCTION: Price level is not inflation rate, falling inflation is not falling...
- TROUGH → RECOVERY → EXPANSION

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: CLOSE DISTINCTION: Price level is not inflation rate, falling inflation is not falling.

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: INDEXED WORKERS → partial protection; TIGHTENING → borrowers and MSMEs bear costs.

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CORE CLAIM

- TROUGH → RECOVERY → EXPANSION
- PEAK → SLOWDOWN / RECESSION

MECHANISM

- POLICY DEPENDS ON output gap and shock
- PHILLIPS CURVE → guide, not law

CONSEQUENCE / LIMIT

- CLOSE DISTINCTION: Price level is not inflation rate, falling inflation is not falling...
- TROUGH → RECOVERY → EXPANSION

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: CLOSE DISTINCTION: Price level is not inflation rate, falling inflation is not falling.

10

STAGE 10 INDEX-SERIES BREAK

INDEX-SERIES BREAK CPI 2024=100 RELEASES FROM JAN 2026 WPI 2022-23 BASE MAY 2026 ONWARD NEW BASKET NEW INFLATION NO CASUAL LEVEL SPLICING

CPI 2024=100 → releases from JAN 2026

WPI 2022-23 base → MAY 2026 onward

NEW BASKET != NEW INFLATION

RULE → no casual level splicing

EVIDENCE LIMIT: FORMULA / STATUS / CAUSATION: State index, weights/base, month or year

CORE CLAIM

- CPI 2024=100 → releases from JAN 2026
- WPI 2022-23 base → MAY 2026 onward

MECHANISM

- NEW BASKET != NEW INFLATION
- RULE → no casual level splicing

CONSEQUENCE / LIMIT

- EVIDENCE LIMIT: FORMULA / STATUS / CAUSATION: State index, weights/base, month or year...
- CPI 2024=100 → releases from JAN 2026

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: EVIDENCE LIMIT: FORMULA / STATUS / CAUSATION: State index, weights/base, month or year.

11

STAGE 11 INFLATION ANSWER SPINE

INFLATION ANSWER SPINE IDENTIFY INDEX + COMPONENT DIAGNOSE DEMAND TRACE EXPECTATIONS + DISTRIBUTION PRESCRIBE COORDINATED POLICY MIX

IDENTIFY index + component

DIAGNOSE demand / cost / supply

TRACE expectations + distribution

PRESCRIBE coordinated policy mix

CORE CLAIM

- IDENTIFY index + component
- DIAGNOSE demand / cost / supply

MECHANISM

- TRACE expectations + distribution
- PRESCRIBE coordinated policy mix

CONSEQUENCE / LIMIT

- IDENTIFY index + component
- DIAGNOSE demand / cost / supply

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: TRACE expectations + distribution; PRESCRIBE coordinated policy mix.

E

EXTRA SUBORDINATE ENRICHMENT — ONLY AFTER THE COMPLETE CORE

OPTIONAL ADVANCED ENRICHMENT DISTINGUISH FIRST-ROUND SUPPLY SHOCKS FROM SECOND-ROUND GENERALISATION THROUGH WAGES REAL INTEREST RATE IS APPROXIMATELY THE NOMINAL RATE MINUS INDEX WEIGHTS, BASE YEARS, OUTLET COVERAGE, QUALITY ADJUSTMENT AND A CPI OR WPI BASE REVISION CHANGES WEIGHTS, COVERAGE OUTPUT GAPS HELP EXPLAIN DEMAND PRESSURE BUT ARE UNCERTAIN FOOD INFLATION IN INDIA HAS STRONG WEATHER, STORAGE, TRADE-POLICY BUSINESS CYCLES MAY BE DEMAND-LED, FINANCIAL-CYCLE-LED, INVENTORY-LED OR SUPPLY-LED

OPTIONAL SOURCE DEPTH

- CAUTION: Distinguish first-round supply shocks from second-round generalisation through wages,
- CAUTION: Real interest rate is approximately the nominal rate minus expected inflation, not
- CAUTION: Index weights, base years, outlet coverage, quality adjustment and substitution affect
- CAUTION: A CPI or WPI base revision changes weights, coverage and sometimes method; it is not

ADVANCED DEBATE

- CAUTION: Output gaps help explain demand pressure but are uncertain and revised in real time.
- CAUTION: Food inflation in India has strong weather, storage, trade-policy and inter-state
- CAUTION: Business cycles may be demand-led, financial-cycle-led, inventory-led or supply-led,
- MoSPI: compiles CPI and its consumer-group and spatial components.

LEGACY / NUANCE

- Office of the Economic Adviser: compiles WPI for wholesale goods.
- RBI and MPC: target headline CPI and calibrate the policy rate and communication.
- Union and state food-management agencies: use stocks, logistics, trade and anti
- CAUTION: A weather-driven vegetable spike can lift headline CPI even when demand-sensitive core

OPTIONAL STATUS — This optional depth is unnecessary for a competent core answer; use it only for added nuance after the complete core has been written.